



## CAGR

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The compounded annual growth rate is the average compounded return that we receive on our investment. If we earn a CAGR of 18%, that means our asset is compounded at 18% annually for N number of years. CAGR is calculated based on compound interest and not simple interest.

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## EXPENSE RATIO



It is the percentage of scheme size/AUM that is being spent to run the mutual fund. A mutual fund has a lot of expenses such as costs related to asset research, office expenses, distribution and marketing expenses, and so on. These costs are denoted as a percentage of scheme size. So, if a mutual fund scheme incurs a cost of Rs. 5 crore to manage Rs. 300 crore, we can say that the expense ratio is 1.66% ( $5\text{Cr} / 300\text{Cr}$ ). Lower the expense ratio, more efficient is the fund in its operations. This forms a key decision factor when selecting mutual funds. The expense ratio can range between 0.5% and 2.5%.



## SECTORS

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This refers to the different business sectors that the fund is allowed to invest in as per its mandate. For example, sectors may include pharmaceuticals, telecom and infrastructure, financial services, consumer durables, food and beverages, and so on. Some mutual funds are sector agnostic i.e. they can invest in all sectors and others may be sector-specific i.e. they invest in select sectors.

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## TOP 10 STOCKS (%)



Each mutual fund has a majority of its investments distributed in a few key holding. The rest are a small percentage of multiple stocks. So, typically we will see 60% of assets in the top 10 stocks and the rest 40% distributed in the next 25 companies. This has a positive side as well as a negative side. So, the top 10 stocks (%) refer to the percentage of holding in the top 10 stocks. It shows how concentrated the fund is.